22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of March 31, 2023 to be effective for the year ended December 31, 2023 is 13.8%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three-month periods ended March 31, 2023 and 2022 are calculated as follows:

(1) Ordinary shares

(In millions of Korean won, thousands of number of shares)	**2023**	**2022**
Profit for the period attributable to owners of the parent company	1,401,252	11,129,094
Profit for the period available for ordinary shares	1,231,500	9,780,878
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	206	1,638

(2) Preference shares

(In millions of Korean won, thousands of number of shares)	**2023**	**2022**
Profit for the period attributable to owners of the parent company	1,401,252	11,129,094
Profit for the period available for preference shares	169,752	1,348,216
Weighted-average number of preference shares outstanding	822,887	822,887
Basic earnings per preference share *(in Korean won)*	206	1,638

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three-month periods ended March 31, 2023 and 2022.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the three-month periods ended March 31, 2023 and 2022 are as follows:

- Adjustments

(In millions of Korean won)	**2023**	**2022**
Adjustments:		
Income tax expense	251,780	3,745,212
Financial income	(2,267,376)	(1,745,834)
Financial expenses	1,797,505	1,462,863
Post-employment benefits	278,289	350,896
Depreciation	8,800,895	9,009,031
Amortization	785,598	770,477
Bad debt expenses	67,557	11,425
Dividend income	(47,894)	(268,509)
Share of profit of associates and joint ventures	(213,841)	(232,477)
Gain on disposal of property, plant and equipment	(34,449)	(50,420)
Loss on disposal of property, plant and equipment	9,392	4,196
Loss on valuation of inventories	2,475,649	772,044
Others	(195,008)	76,826
Total	11,708,097	13,905,730

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2023**	**2022**
Changes in assets and liabilities :		
Decrease (increase) in trade receivables	411,960	(2,369,191)
Decrease (increase) in non-trade receivables	1,151,428	(566,904)
Increase in prepaid expenses	(422,761)	(520,881)
Increase in inventories	(3,731,787)	(6,407,793)
Increase in trade payables	1,071,670	616,577
Decrease in other payables	(4,473)	(1,164,358)
Increase (decrease) in advances received	(47,042)	223,193
Decrease in withholdings	(528,193)	(385,713)
Decrease in accrued expenses	(5,169,031)	(3,120,255)
Increase in provisions	1,287,161	406,978
Payment of post-employment benefits	(162,758)	(142,330)
Other	(296,713)	(802,638)
Total	(6,440,539)	(14,233,315)

For the three-month periods ended March 31, 2023 and 2022, cash outflows from principal portion of lease liabilities (financial activities) amount to ₩ 261,755 million and ₩ 238,374 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 45,462 million and ₩ 30,012 million, respectively.